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CHIEF INVESTMENT OFFICE

Capital Market Outlook

April 13, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*From Balance to Strain Under an Energy Shock and Back:* TThe U.S. economy ended 2025 with soft hiring, near potential economic growth around 2% led by firm productivity growth, and moderating inflation underpinnings. The rise in energy prices risks disrupting that fragile equilibrium. Fiscal support from One Big Beautiful Bill Act (OBBBA) along with continued strength in Artificial Intelligence (AI)-related capital spending provides a helpful offset. Still, tax refunds skew benefits toward higher income households with lower marginal propensity to consume, limiting economywide relief. Along with weaker global growth, U.S. real gross domestic product (GDP) growth could slow further from its moderate 2.1% pace in 2025. With labor demand poised to stay soft, inflation is likely to remain relatively contained by cooling wage growth and anchored longer-term inflation expectations. In our view, the balance of risks is therefore tilting toward growth. This suggests that the Federal Reserve (Fed) is likely to refocus on downside risks to activity and resume policy easing later in the year.

Market View—*Thinking Long-Term: Historical Perspective on Market Volatility:* There is no shortage of unanswered questions facing markets today, and navigating an environment defined by heightened uncertainty can be challenging. However, a narrow focus on what could go wrong may leave investors at risk of missing the upside, should conditions evolve more favorably, as well as the longer-term potential opportunities that periods of volatility can create. History suggests that bouts of heightened volatility has often been transitory and that equity markets have tended to recover well before uncertainty is fully resolved. Looking back at past market behavior can help illustrate why maintaining a long- term perspective, staying invested, and adhering to a consistent investment process remain critical during uncertain periods.

Thought of the Week—*Earnings Season Amid a Fragile Truce:* The push-pull of headlines around the unresolved Middle East conflict remains center stage for markets. All along, earnings expectations have remained surprisingly resilient. One year forward S&P 500 earnings per share (EPS) estimates have actually risen since the conflict began, even as the index pulled back. Analysts have made limited revisions, with gains concentrated in energy-related industries and with downgrades focused on airlines and travel. Consumer fundamentals have also held up, aided by a structurally lower energy burden and a robust tax refund season. In the week ahead we look for Q1 of double-digit earnings growth despite lingering geopolitical risks.

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Portfolio Considerations

The overall growth outlook remains largely unchanged for now, though a prolonged war could pressure discretionary spending through higher energy, commodity, and food prices. Despite recent volatility, U.S. Equities remain preferred given economic resilience and easing valuations. Fixed Income remains constructive but underweighted to support an Equity overweight, with neutral duration and expectations for range-bound yet potentially volatile yields amid sticky inflation, steady GDP growth, and upcoming Fed leadership changes.

Our sector positioning reflects reduced Utilities exposure after valuation-driven outperformance, continued confidence in resilient consumers, positive outlooks for Financials, and selective increases to Energy.

MACRO STRATEGY

From Balance to Strain Under an Energy Shock, and Back

Chief Investment Office, *Macro Strategy Team*

Incoming economic data have continued to indicate that the U.S. economy entered the Iran-war energy shock with growth near potential, robust productivity, tepid labor demand, and inflation between 2.4% and 3%. Sustained high energy prices risk disrupting this fragile equilibrium, with greater risks to growth than inflation, in our view.

First, while layoffs have remained low and March saw a stronger-than-expected net gain of 178,000 jobs, hiring was boosted by temporary factors, according to the Bureau of Labor Statistics. Also, employment has barely increased year to year, and it shrank outside healthcare. The decline in the unemployment rate to 4.3% has been driven by a contraction in the labor force. Consistent with cooling demand for labor, average hourly earnings growth has eased to around 3.5% year-over-year (YoY). Anecdotal recruiter data suggest that a higher share of job switchers have been accepting lower or similar pay,[1] depressing the quits rate and suggesting sustained downward pressure on wage growth (Exhibit 1A).

Business surveys tell a similar story. Small business job openings remained at moderate levels, but plans to increase compensation cooled in March,[2] suggesting stable but subdued labor demand with limited risk of a wage-price spiral. While the Institute for Supply Management (ISM) manufacturing and nonmanufacturing surveys stayed in growth territory in March, both remain consistent with weak employment growth for the foreseeable future (Exhibit 1B), likely containing wages and real consumer spending growth.

Business investment remains a relatively bright spot. Banks report rising demand for commercial and industrial loans from large and medium firms,[3] and February capital goods orders and shipments signal solid investment momentum into 2026. Supported by strong AI-related investment, real equipment investment is seen growing at a solid 10% annualized pace in Q1, with OBBBA incentives likely providing further support. That said, a large part of AI-related equipment is imported, offsetting part of its contribution to domestic growth. Indeed, the ISM manufacturing new orders index is far from booming (Exhibit 1C).

Iran war-related global supply disruptions, geopolitical uncertainty and softening consumer purchasing power are also likely to temper momentum. Reflecting both higher inflation and fiscal constraints in an already high government-debt environment, government bond yields also rose around the world, adding to the drag on global economic activity. In addition, U.S. housing continues to struggle under the weight of higher mortgage rates and poor affordability, and domestic oil-related investment is unlikely to provide meaningful immediate support. According to the EIA,[4] U.S. oil supply is seen plateauing through 2030 at prices below $80 per barrel, reflecting depletion of easily accessible reserves and limited investment absent sustained higher prices.

The scale and persistence of the energy price shock are therefore critical to growth prospects. Brent crude increased by roughly $50 per barrel during Q1, pushing gasoline prices up sharply from about $3 per gallon. Higher energy prices act as a tax on consumers, and with gasoline expenditures roughly around $400 billion in 2025, a sustained 30% increase to $4.0 per gallon would redirect about $120 billion from other spending in 2026, reducing real consumer spending growth by about 0.5 percentage points with additional negative effects from higher airplane tickets, food prices, and so on.

Investment Implications

Portfolios positioned for softer but continued growth supported by eventual rate cuts, rather than sustained inflation and recession, are likely to benefit. Diversification along with an emphasis on earnings resilience and sectors tied to real investment also make sense at this point in the cycle. Slower growth and contained longer term inflation favor duration once the energy shock fades.

[1] Wall Street Journal, March 18, 2026.
[2] National Federation of Independent Business.
[3] Federal Reserve, Senior Loan Officer Opinion Survey, Q1 2026.
[4] Energy Information Administration April Short-term Energy Outlook and Annual Energy Outlook 2026.

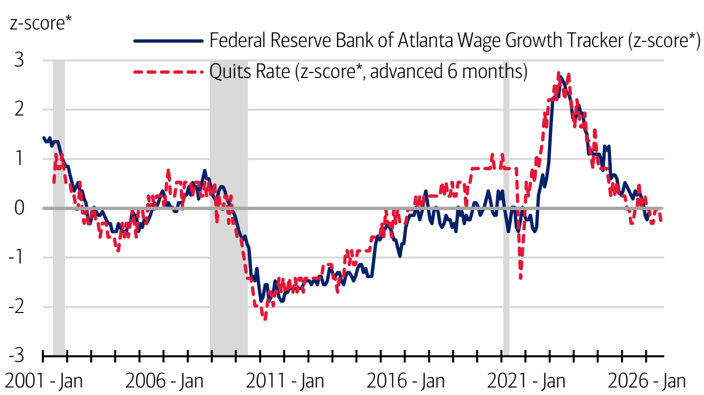
Fiscal support from OBBBA, along with continued strength in AI-related capital spending, provides a helpful offset. However, according to Oxford Economics, the OBBBA consumer stimulus—estimated at about $130 billion for 2026, including the 2025 tax refund—is skewed toward higher-income households with a lower propensity to spend, limiting its economic growth impulse. According to EvercoreISI, even a $3.85 average gasoline price for 2026 would wipe out the OBBBA stimulus for 80% of households. The net impact will depend on the ultimate 2026 oil price average (Exhibit 1D), with stimulus still available at $85 to $95 per barrel.

All in all, shielded by domestic oil production, fiscal support and strong AI-related investment, the most likely U.S. outcome is slower, but still positive, growth alongside higher near-term inflation. Each $10 increase in oil prices is estimated to add roughly 0.2 percentage points to headline inflation, implying a potential one-time rise in the consumer price index from roughly 2.5% toward 4%. For now, real GDP growth is still expected to stay around 2% in 2026, though much softer compared to a previously anticipated gain of about 2.8%.

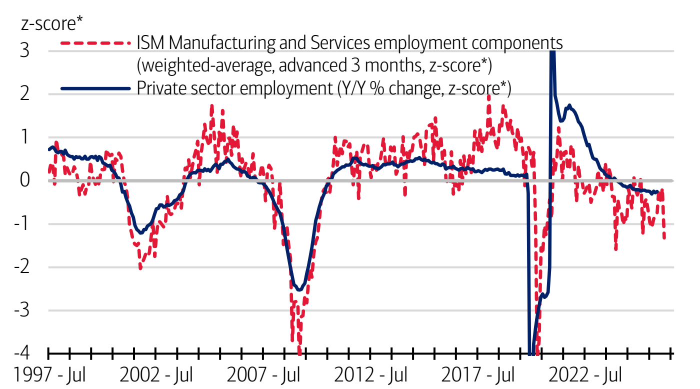
Soft hiring, moderate labor income growth, easing rent inflation, anchored longer-term inflation expectations, and declining consumer demand for credit[5] suggest "core" inflation should remain relatively contained, however. We expect "core" personal consumption expenditures inflation to average somewhere between 2.5% and 2.7% in 2026, versus roughly 2.3% absent the energy shock. With growth risks likely to dominate, the Fed is likely to shift its focus back toward supporting the economy, in our view.

Exhibit 1: Unless Oil Prices Stay Over $120 Per Barrel, Economic Conditions Are Likely To Stay "Not Too Hot, Not Too Cold" in 2026.

A) Quits rate consistent with moderate wage growth.

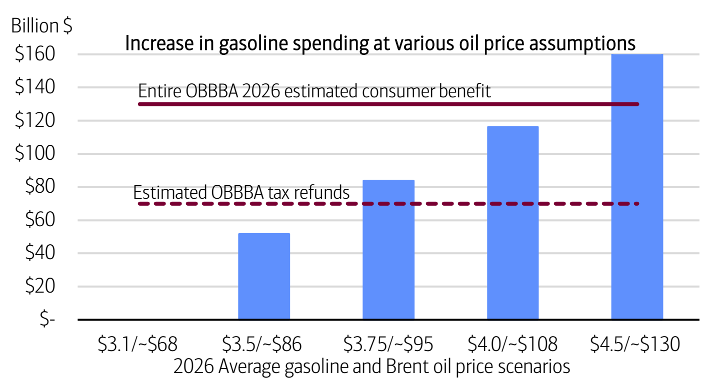


B) ISM employment index still inconsistent with labor demand strength.



C) Manufacturing ISM new orders index sharply better this year, but not booming yet.

D) Oil over $120 per barrel would wipe out entire OBBBA stimulus. At $85, stimulus still available.



*z-score=number of standard deviations from the mean of a data set. Gray bars represent recessionary periods. Exhibit 1A) Sources: Federal Reserve; Bureau of Labor Statistics/Haver Analytics. Data as of April 8, 2026. Exhibit 1B) Sources: ISM; Bureau of Labor Statistics/Haver Analytics. Data as of April 6, 2026. Exhibit 1C) Sources: ISM/Haver Analytics. Data as of April 6, 2026. Exhibit 1D) Source: Chief Investment Office. Data as of April 6, 2026. Past performance is no guarantee of future results. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

[5] Federal Reserve, Senior Loan Officer Opinion Survey, Q1 2026.

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MARKET VIEW

Thinking Long-Term: Historical Perspective on Market Volatility

Kirsten Cabacungan, ***Vice President and Investment Strategist***

There is no shortage of unanswered questions facing markets today: how durable a ceasefire in the Middle East may prove; whether diplomacy can bring the war to an end or whether further military escalation lies ahead; where oil prices will ultimately settle; how the Fed will navigate its dual mandate amid a softening labor market and elevated inflation risks; whether prolonged geopolitical instability could impact AI-related investment spending; and how the upcoming midterm elections will unfold. Navigating markets in an environment defined by heightened uncertainty can be challenging. But a narrow focus on what could go wrong may leave investors at risk of missing the upside if things go right as well as the longer-term potential opportunities that periods of volatility may create.

Equity markets have weathered geopolitical events before—from military conflicts and energy shocks to terrorism and global health crises. In most cases, these shocks arrived unexpectedly and felt deeply disruptive at the time, triggering an initial spike in volatility and a pullback in risk assets as uncertainty rose and as headlines overshadowed fundamentals. Yet history shows that these periods tended to be transitory. **Across major geopolitical events since 1962, the S&P 500 historically experienced more mixed performance in the short term, but it averaged gains of 6.6% and 9.5% over the subsequent six- and 12-month periods, respectively.[6]**

Because markets are forward-looking, recoveries have often begun as uncertainty reaches its peak rather than once clarity fully emerges. Measures of market volatility help illustrate this pattern. The Volatility Index (VIX), which reflects expected future volatility in the S&P 500, has typically spiked during periods of heightened fear and market stress. Historically, these spikes have often occurred near market inflection points and have been followed by improved Equity performance over subsequent months.

For example, following periods in which the VIX recorded a weekly close above 30, well above its long-term average near 19, the S&P 500 delivered average forward 12-month gains of approximately 22.4%, compared with roughly 8.9% following all other weekly close levels.[7] At these moments, investors tend to start pricing in a broader range of outcomes beyond worst case scenarios, often in conjunction with supportive developments such as policy responses or evidence of corporate and macroeconomic resilience.

Importantly, this dynamic has not required risks to be fully resolved. Equity markets have often turned higher even while uncertainty persists. In fact, equity market bottoms have frequently occurred well before geopolitical conflicts reached a clear resolution. **Across the major wars since 1900, the S&P 500 has historically bottomed within the first 10% of a conflict's duration on a median basis, according to Fundstrat Research.**

Recent market history offers examples of how this dynamic has played out in real time.

In 2020, uncertainty surrounding global growth, public health outcomes and financial stability during the Covid-19 pandemic triggered a sharp bear market in the S&P 500 over the span of a little more than a month. Yet equity markets began to recover well before the economic outlook improved, supported by an aggressive and coordinated monetary and fiscal policy response. By late summer, markets had fully retraced their losses well ahead of widespread vaccine distribution and a full economic reopening. A similar pattern emerged in April 2025, when equity markets sold off following the administration's announcement of sweeping tariff measures that unsettled global trade policy. As it became clearer in subsequent weeks that negotiations and policy adjustments were possible, uncertainty began to ease and markets rebounded. In

Investment Implications

Although volatility is likely to remain elevated in the near term, our positive medium- and long-term outlook for economic fundamentals and corporate profits continues to underpin our overweight position in Equities and slight underweight in Fixed Income within multi-asset portfolios. Investors should maintain the highest level of diversification in this environment, spreading exposure across various styles, regions, sizes, and sectors.

6 Chief Investment Office, "Investment Insights: Market Update." Published March 1, 2026. Source: Bloomberg. Data as of January 26, 2026.

7 Bloomberg. Reflects VIX weekly close levels since January 5, 1990 to April 3, 2026.

both episodes, markets began recovering not when uncertainty disappeared, but when expectations began to shift at the margin.

These episodes also illustrate another critical feature of market drawdowns: Once recoveries began, they have historically unfolded far more quickly than many investors expected. **Since 1950, the average market correction—a 10% to 20% decline that did not evolve into a bear market—has unfolded relatively quickly, with the average drawdown lasting approximately three to four months and the median closer to two to three months. Recoveries have also tended to materialize within months of these troughs, with the S&P 500 returning to its prior peak roughly four months after reaching a correction low on both an average and median basis.**[8]

More importantly, forward returns following these episodes have historically been strong and consistent. **The S&P 500 was higher 100% of the time over the subsequent three-, six-, and 12-month periods following correction troughs, with average gains of 14.6%, 21.4%, and 26.1%, respectively, and median gains of 14.7%, 22.8%, and 29.3%, respectively.**

The pace of these recoveries is one reason why timing markets can be so challenging. While turning points appear clear in hindsight, periods of peak uncertainty can give way to improving fundamentals with little warning. And even more, some of the market's best days have historically tended to follow closely after its worst.

In both the 2020 and 2025 episodes, some of the S&P 500's strongest daily gains of the year occurred shortly after the market experienced its steepest declines. The cost of missing those rebounds can be significant. **For example, excluding just the 10 best-performing days would have resulted in a full-year decline of roughly 34% in 2020 and 12% in 2025, compared with positive full year returns of approximately 16% in both periods.** These patterns reinforce why maintaining discipline through periods of uncertainty has historically mattered more than attempting to time market inflection points.

While market stress can dominate investor attention in real time, history suggests it has rarely defined long term outcomes. When viewed through a longer-term lens, short-term volatility has consistently faded into the background of a durable upward trajectory for equity markets. As the investment horizon extends, the influence of short-term volatility has historically diminished. **Over every 15- and 20-year rolling period using monthly data since 1950, the S&P 500 has delivered positive annualized returns, compared with positive outcomes only about 80% of the time over rolling one year periods.**[9]

The bottom line: Thinking longer term does not mean ignoring near-term risks, rather it can help to contextualize periods of elevated uncertainty. Volatility may persist in the near term, particularly given that the second quarter of midterm election years tend to be more volatile. At the same time, the broader fundamental backdrop has not materially changed. Earnings expectations continue to rise, AI-related capital spending remains intact, and fiscal stimulus from the OBBBA is helping to cushion consumers in the near term. Taken together, the setup ahead remains constructive, particularly as political uncertainty begins to fade following midterm elections, in our view. **Historically, the S&P 500 has not declined in the 12 months following a midterm election dating back to 1938, according to Strategas Research**.

In this environment, the core principles of long-term investing become even more important. We continue to emphasize maintaining diversified portfolios, staying the course through market volatility, rebalancing thoughtfully during periods of market strength and weakness, avoiding attempts to time market inflection points, extending time horizons, and remaining anchored to a disciplined investment process.

[8] S&P 500 corrections are defined as peak-to-trough price declines of roughly 10–20% that did not develop into full bear markets. Source: Bloomberg, Yardeni Research. Data as of March 31, 2026.

[9] Sources: Bloomberg. Data as of March 31, 2026.

THOUGHT OF THE WEEK

Earnings Season Amid a Fragile Truce

Lauren Sanfilippo, *Director and Senior Investment Strategist*

The market reaction following the two-week U.S.–Iran ceasefire agreement has oscillated between caution and euphoria. The push-pull of headlines should continue to drive markets with significant hurdles to overcome before reaching a diplomatic solution.

Perhaps surprisingly, all along earnings expectations have weathered the storm. Despite concerns that an energy price shock could weigh on growth and consumer demand and therefore corporate earnings, one year forward S&P 500 EPS estimates have actually risen since the start of the war and now sit at all-time highs (Exhibit 2A). This runs counter to the price action of the 8.7% peak-to-trough decline for the index, that has gone on to regain 7.5%. It's also a departure from past energy shock episodes that may have led to a recession. Six weeks on, analysts were slow to materially mark down forecasts, with roughly half of estimates remaining unchanged. The marked-up industries have been the beneficiaries like energy, refiners and chemicals, while airlines and travel adjacent industries have seen downgrades.

As for the consumer buckling under an energy shock, remember this: The domestic energy apparatus is far better equipped to absorb price shocks now, and consumers are less sensitive to higher fuel costs than in prior decades. Energy accounted for just 3.6% of consumer spending in February 2026, down from nearly 6% in the early 1990s, leaving households better positioned to withstand the $1 per gallon rise in prices at the pump since the start of the war.

The confluence of tax refund season is also helping to cushion the shock. Now past its midpoint, the Treasury has already issued roughly $234 billion in cumulative refunds—exceeding last year's full season total of $225 billion (Exhibit 2B). March refunds rose 14% YoY, helping offset rising fuel costs for the time being.

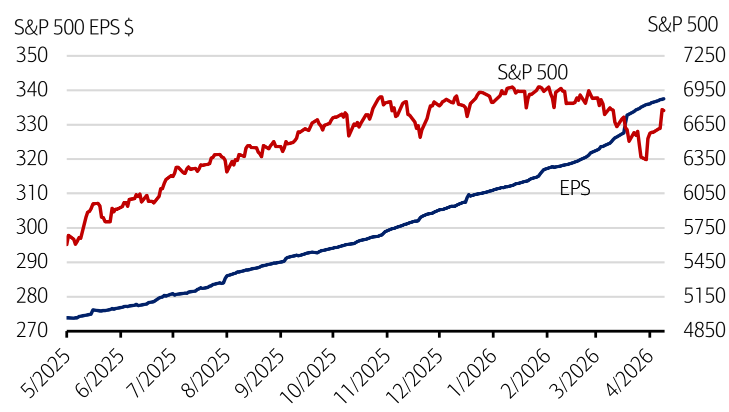
This week, heading into the Q1 earnings season, consensus still expects 12% year over year S&P 500 EPS growth, marking a sixth consecutive quarter of double-digit gains. Earnings remain relatively insensitive to oil prices in isolation; the larger risk would be a sustained disruption that materially undermines economic growth. Notably, manufacturing momentum has improved, with the ISM at its highest level since August 2022—a development that should support a continued broadening of growth and earnings participation across sectors.

Investment Implications

The recent pullback has generally improved valuations. With earnings estimates intact, energy price sensitivity lower than in past cycles, and manufacturing momentum improving, investors should consider rebalancing tactical exposures in the coming months of what is still a midterm election year.

Exhibit 2: War Adjustment to Earnings and the Index and Individual Tax Refunds Coming in Hot.

A) Multiple Contraction Behind S&P 500 Decline.



B) Tax Refunds Running Ahead of Last Season.

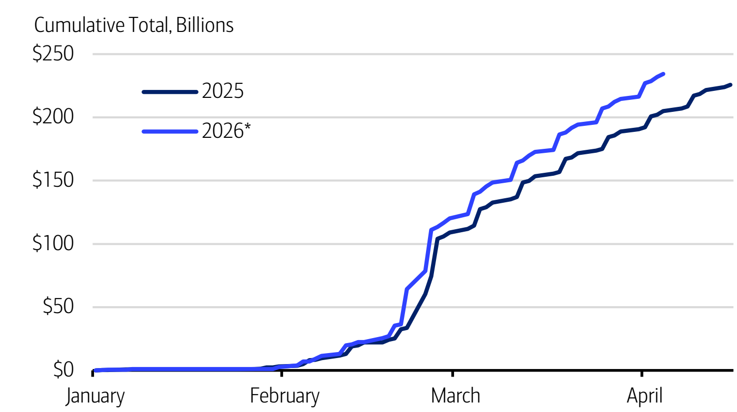


Exhibit 2A) One-year forward S&P 500 EPS estimates. Source: Bloomberg. Data as of April 9, 2026. Exhibit 2B) *Estimate. Source: U.S. Treasury. Data as of April 8, 2026. Past performance is no guarantee of future results. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

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Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	47,916.57	3.1	3.5	0.2
NASDAQ	22,902.89	4.7	6.1	-1.3
S&P 500	6,816.89	3.6	4.5	-0.1
S&P 400 Mid Cap	3,522.63	3.4	4.4	7.0
Russell 2000	2,630.59	4.0	5.4	6.3
MSCI World	4,473.96	3.7	5.1	1.4
MSCI EAFE	3,045.95	4.4	7.4	6.1
MSCI Emerging Markets	1,547.49	7.4	10.9	10.7

Fixed Income†

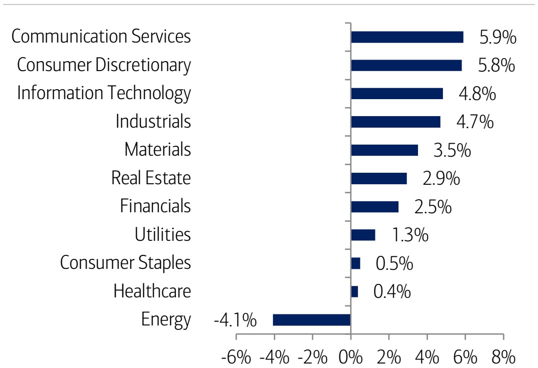
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.46	0.32	0.32	0.11
Agencies	4.20	0.22	0.13	0.36
Municipals	3.62	0.82	1.14	0.97
U.S. Investment-Grade Credit	4.54	0.33	0.33	0.29
International	5.07	0.46	0.65	0.11
High Yield	6.98	0.90	1.31	0.80
90 Day Yield	3.67	3.69	3.67	3.63
2 Year Yield	3.80	3.80	3.79	3.47
10 Year Yield	4.32	4.30	4.32	4.17
30 Year Yield	4.91	4.88	4.91	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	336.14	-3.6	-2.2	21.7
WTI Crude $/Barrel††	96.57	-13.4	-4.7	68.2
Gold Spot $/Ounce††	4749.75	1.6	1.8	10.0

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.17	1.15	1.16	1.17
USD/JPY	159.27	159.67	158.72	156.71
USD/CNH	6.83	6.89	6.89	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 04/03/2026 to 04/10/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 4/10/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 4/10/2026)

	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.5	2.5	1.9	1.9	2.3	2.2
CPI inflation (% y/y)	2.7	4.1	3.7	3.6	3.5	2.4
Core CPI inflation (% y/y**)	2.6	2.9	2.8	2.9	2.8	2.6
Unemployment rate (%)	4.4	4.5	4.5	4.4	4.4	4.3
Fed funds rate, end period (%)	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of April 10, 2026.
Sources: BofA Global Research; GWIM ISC as of April 10, 2026.

Asset Class Weightings (as of 4/7/2026)

	CIO View				
Asset Class	Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Growth				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

	CIO View				
Sector	Underweight		Neutral	Overweight	
Financials				●	◄
Consumer Discretionary				●	
Industrials				●	
Utilities			●	◄	
Energy	►		●		
Information Technology			●		
Healthcare			●		
Materials			●		
Real Estate		●			
Consumer Staples		●			
Communication Services		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of April 7, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States..

Institute for Supply Management Employment Index is a component of the Manufacturing Purchasing Managers Index and reflects employment changes from industrial companies.

Institute for Supply Management Manufacturing New Orders Index shows the number of new orders from customers of manufacturing firms reported by survey respondents compared to the previous month.

Consumer Price Index is a key economic indicator that measures the average change over time in prices paid by urban consumers for a representative "basket" of goods and services, such as food, housing, and transportation.

Volatility Index (VIX) is the ticker symbol that measures the market's expectation of 30-day volatility for the S&P 500.

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All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative Investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private-credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity and your tolerance for risk.

Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

April 6, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*AI, Productivity, and R*:* Productivity is the ultimate driver of living standards and economic strength. The question is, will Artificial Intelligence (AI)-related productivity growth turn out to be too much of a good thing, damaging the economy through large negative effects on employment? Also, Federal Reserve (Fed) officials have suggested that stronger AI-driven productivity could push the neutral short-term interest rate (r*) higher, potentially limiting the central bank's ability to ease policy even if the labor market weakened—i.e., higher unemployment would also coincide with tighter financial conditions. In our view, AI may raise the economic engine's speed capacity, but demand will likely shape how fast the machine will go. Thus, aggregate productivity growth is more likely to remain closer to its long-term average than turn extreme and dystopian, contained by adoption frictions and anchored by demand dynamics. Absent stronger demand, AI's impact is more likely to reinforce disinflationary forces than to drive structurally higher interest rates, in our view.

Market View—*The Key Exception to U.S. Energy Independence: Critical Minerals:* U.S. Equities have outperformed their international counterparts since the start of the war. This has largely been attributed to America's energy independence. And while that's good news for U.S. investors, the latest supply chain disruption should also serve as a reminder of where the U.S. is still far from independent: critical minerals. The reality is, China maintains a chokehold on the minerals required to power U.S. grid infrastructure, robotics and AI, renewables, defense systems, and more. The U.S., meanwhile, is still 100% net import reliant for 13 critical minerals, basically unchanged from the start of the decade.

With these minerals increasingly a matter of U.S. national security and economic competitiveness, progress is gaining momentum. Cross-country partnerships have emerged as corporations globally grow wary of China's weaponization of supply chains. Helping matters domestically: public private sector collaboration with the U.S. government taking an active role as a provider of capital. We continue to be bullish on the "picks and shovels" companies that stand to benefit from higher capital expenditures (capex) spend.

Thought of the Week—*The U.S. Migration Shock that Wasn't*—U.S. Demographics Remain a Favorable Outlier: First, the bad news: Net immigration in the U.S. fell sharply last year, down nearly 54% and contributing to population growth of just 0.5% in 2025, according to the latest figures from the U.S. Census Bureau. Now, the good news: Last year's net 1.3 million addition of immigrants remained well ahead of the past 35-year average of 964,000. Missing from the sky-is-falling narrative is the fact that migrant flows were artificially inflated over the 2022 to 2024 period due to loose immigration policies, with net immigration now reverting to the mean. Add to –the fact that there were over 500,000 more births than deaths, leaving the U.S. a rare breed among developed nations with positive population growth. While much of Europe, Japan, South Korea and China face aging and shrinking populations, the U.S. continues to add people, supporting labor force growth, rising consumption, innovation capacity, fiscal sustainability, and stronger long-run economic growth and market returns, in our view.

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Portfolio Considerations

We see equity market pullbacks driven by headline noise as potential opportunities, supported by improving growth, clearer interest-rate visibility, favorable dollar dynamics, strong earnings prospects, and limited impact from geopolitical risks. Diversification beyond U.S. mega-caps is increasingly important as market leadership broadens, with added exposure to Small-caps, Emerging Markets and selective sector shifts.

We remain constructive on Fixed Income but underweight it to fund Equities, expecting tariffs to have a marginal economic impact and yields to stay range-bound amid sticky inflation and gross domestic product (GDP) near or above 2%.

AI, Productivity, and R*

Chief Investment Office, *Macro Strategy Team*

Productivity sits at the heart of economic growth and progress, determining how quickly living standards (as measured by real GDP per capita) can rise. Strong productivity helps support fiscal sustainability, boosts corporate earnings and increases competitiveness. Encouragingly, U.S. productivity has surprised to the upside since the pandemic, averaging 2.2% per year compared to a historically low 1.1% pace during the 2011 to 2019 post-Great Financial Crisis (GFC) period, and 1.9% over the 50 years between 1970 and 2019, according to the Bureau of Labor Statistics. Even seemingly modest differences compound meaningfully—a 1.1% versus 2% average pace would result in 39% versus 81% cumulative growth in output per capita over a 30-year horizon, for example.

The recent productivity resurgence has coincided with rapid advances in AI, raising concerns about "too much of a good thing"—productivity becoming so strong as to vastly displace labor and result in a dystopian world. What's more, higher productivity can raise the expected return on capital, stimulating investment and putting upward pressure on equilibrium, or neutral, short-term interest rates (r*).

Potentially untethered AI productivity gains could therefore not only result in higher structural unemployment but also a higher-interest-rate environment. Indeed, in recent speeches, Fed officials have noted the possibility that stronger AI-driven productivity may limit the extent to which monetary policy can respond to any related increase in unemployment, as addressing structural unemployment typically requires policies that are not in its "toolkit" (such as labor retraining, taxation, fiscal support).

In our view, while AI represents a powerful supply side force that will no doubt transform the economy, its impact on economy-wide productivity is still likely to be shaped, and tempered, by employment and labor-income dynamics, demand conditions and other constraints, as discussed below. While uncertainty remains high, several considerations suggest a more balanced likely outcome than the extreme scenarios envision.

Productivity is not just technology- or process-dependent but also demand-dependent. Ultimately, it is demand that shapes how much technical productivity is "realized" at the economy-wide level. End-demand is required to validate returns on capital and maintain a productivity-investment-innovation cycle, reinforced by sustained production and learning by doing. Technical capability without sufficient end-market demand tends to break this feedback loop, causing productivity to eventually lose momentum. With consumer spending accounting for about 70% of the economy, household income and spending will therefore continue to anchor productivity growth, in our view.

The pre- and post-pandemic experience offers a useful example. The post-GFC decade of unusually low productivity occurred amid insufficient demand, low inflation and depressed interest rates, while the recent productivity rebound occurred alongside the pandemic stimulus-induced demand revival. The point is that demand and productivity tend to move together (Exhibit 1A). Just as weak demand was associated with historically low productivity from 2010 to 2019, extreme AI-led productivity growth is unlikely to be sustained absent broad and recurring income and demand—it would be self-defeating. A more likely outcome is therefore a gradual adjustment, with more moderate productivity gains than extreme scenarios imply, new job creation, and productivity-related boosts to purchasing power sustaining the feedback loop.

According to NBER research,[1] most current occupations emerged after 1940 alongside technological progress through "creative destruction." Recent decades have seen stronger labor-displacing and weaker labor-augmenting technology effects. As a result, since 1980, labor demand has polarized toward high- and low-wage jobs, with middle-skill roles reduced by automation. Combined with globalization effects, these shifts have no doubt contributed to softening employment and consumer spending growth, with greater reliance on debt and fiscal support.

This polarization is reflected in recent spending patterns in a K-shaped economy and is likely to be amplified by AI given its capabilities. While AI is likely to create new roles and enhance productivity, its ability to automate cognitive and middle-skill tasks suggests a further decline

Investment Implications

Despite sustained AI investment, aggregate demand may remain constrained by downward pressure on the labor share of income and uneven AI benefits. This suggests a focus on demand visibility and pricing power. With only moderate growth, return dispersion is likely to remain elevated, favoring quality and selectivity.

[1] National Bureau of Economic Research (NBER), Working Papers, August 2022, New Frontiers: The Origins and Content of New Work, 1940–2018.

in the labor share of income, further weighing on trend demand growth and interest rates (Exhibit 1B). Excess supply would undermine aggregate productivity growth over time.

This pattern helps explain why, despite rapid technological progress over the past 50 years, the U.S. could not sustain productivity growth much above 2.0% for extended periods. Slowing population growth, shrinking middle-income jobs and rising inequality lowered trend demand growth, which in turn restrained realized productivity. Recurring macroeconomic shocks also short-circuited the demand-investment-production-productivity loop. Without sustained demand, productivity gains occurred in bursts, reverting to a long-run average largely shaped by structural consumer demand underpinnings—including a shrinking middle class and rising demand for services, many of which increase productivity at a slower pace.

Other constraints (energy, infrastructure, aging population) have also limited long-term productivity growth. According to research, various real-world frictions are also likely to temper AI productivity gains: energy constraints; infrastructure bottlenecks; workflow redesign challenges; regulatory/risk management requirements; cybersecurity risks; skilled labor shortages; information overload; cognitive strain; and costs of finding and correcting subtle but high-impact errors.

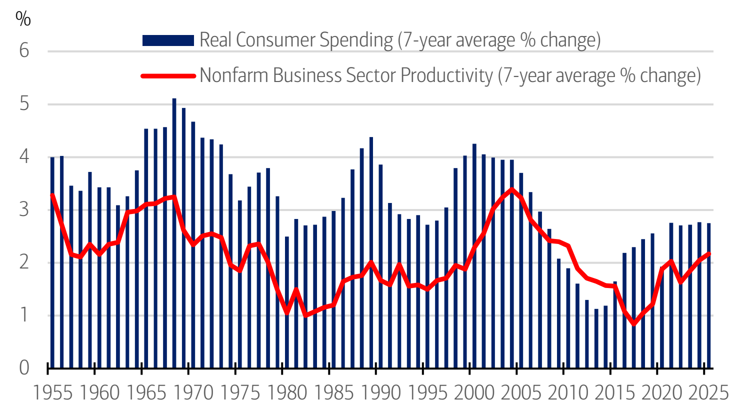
While estimates vary widely, economists generally expect AI to add roughly 0.4 percentage points to annual productivity growth over the next decade, far from extreme scenarios. Sustained gains of up to 2.5% would still be a feat given aging demographics, fiscal constraints and powerful compounding effects on living standards (assuming productivity benefits are shared more broadly across labor and capital). This outcome would also be more aligned with the historical experience, making it easier for the economy to absorb.

In our view, end-demand dynamics are also likely to keep r* in check. Stronger productivity can lift r* by raising expected returns on capital and stimulating investment but only if the increase in investment demand outweighs any rise in economywide savings. Higher unemployment, income polarization and weaker consumption would boost saving and dampen upward pressure on real rates, all else equal (Exhibit 1B). Lagging demand would also create excess supply, disinflation and higher unemployment, challenging the view that AI-driven productivity would necessarily lift the equilibrium rate. A “high productivity, high r*” regime will likely still require resilient labor markets, sustained credit demand and sufficiently strong consumption. While some policymakers highlight upside risks to r*, current policy projections and market pricing do not point to a material rise in equilibrium rates over the foreseeable future.

Interest rates and inflation are shaped by both the strength of economic growth and the balance between demand and supply, not by productivity alone. That’s why we’ve seen various combinations: low productivity with high inflation and interest rates (late-1970s to early 1980s); higher productivity with low inflation but relatively high interest rates (late 1990s technology boom); and low productivity with low inflation and low rates (2010 to 2019). The ultimate determinant for inflation is money and credit growth relative to real output, as the pandemic inflation experience made clear. Absent stronger demand support, AI’s impact is more likely to reinforce disinflationary forces than to drive structurally higher interest rates.

Exhibit 1: Aging Demographics, Jobs and Income Growth Have Shaped Productivity and Interest Rates Over Time.

A) With a 70% share of the U.S. economy, consumer spending has tracked and anchored productivity growth over time.



B) Decline in the labor share of income has contributed to lower real rates.

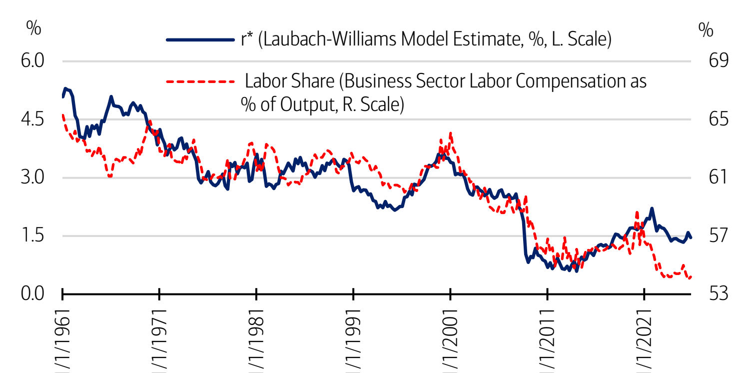


Exhibit 1A) Sources: Bureau of Economic Analysis/Haver Analytics. Data as of March 29, 2026. Exhibit 1B) Sources: Federal Reserve Bank of New York; Bureau of Economic Analysis/Haver Analytics. Data as of March 31, 2026.

MARKET VIEW

The Key Exception to U.S. Energy Independence: Critical Minerals

***Ariana Chiu**, Assistant Vice President and Investment Strategist*

U.S. Equities have outperformed their international counterparts since the start of the Middle East conflict. This has largely been attributed to America's energy independence—that is, that as a net exporter of oil and natural gas, the U.S. is more insulated from the latest disruption to the Strait of Hormuz than are its peers in Europe and Asia.

While the above is good news for U.S. investors, the latest supply chain disruption should also serve as a reminder of where the U.S. is still far from independent: critical minerals. Whereas "wildcat" drillers unlocked vast domestic oil and natural gas reserves in the late 2000s and early 2010s, thereby reducing America's import reliance (Exhibit 2A) and paving the way for the U.S. to emerge as one of the world's leading energy producers, the same cannot be said of critical minerals. Rather, China continues to maintain a chokehold on the minerals required to power U.S. grid infrastructure, robotics and AI, renewables, defense systems, and more. How the U.S. addresses these supply chain vulnerabilities in the coming years will likely have major implications for the economy and corporate profits.

Taking Stock of America's Critical Mineral Dependence. Nothing, not memory chips or grid transformers or AI data centers or F-35 fighter jets, can exist without critical minerals. Yet for how essential these minerals are to wars, the AI race and U.S. infrastructure, it's hard to overestimate how little control the U.S. has over them.

In many cases, the U.S. has the geological resources and capacity to mine, not to mention its allies like Australia and Canada, which remain among the most mineral-rich and adept at mining in the world. But it's what comes after—i.e., "midstream" chemical conversion, separation, purification, refinement, etc.—where U.S. and global supply chains are inextricably linked to and dependent on China. For 19 out of 20 minerals essential to electrification, for example, China is the #1 refiner, with an average market share of 70% (Exhibit 2B).

These dependencies are decades in the making. China has flooded the market over the years, leaving Western competitors unprofitable and economically unviable. It's therefore unsurprising that U.S. mineral dependencies haven't changed much in recent years. According to the latest U.S. Geological Survey's 2026 Mineral Commodities Summary, the U.S. is still 100% net import-reliant for 13 critical minerals, basically unchanged from 14 at the start of the decade. For another 20 minerals, including rare earth elements (REEs), the U.S. relies on imports for more than half of its apparent consumption. In areas such as gallium (chips), graphite (electric vehicles batteries) and tantalum (electronics/aerospace and defense), the U.S. has been 100% net import-reliant for the last 20 years or more.

In the meantime, China's influence has only grown. Take rare earth-powered permanent magnets, a critical input in the cars we drive, the data centers we build, and the defense systems deployed around the world. China's share of global production went from around 50% two decades ago to 94% today[2]—a fact that featured prominently in last year's tit-for-tat trade spat. Indeed, China's ability to place export restrictions on heavy REEs, thus endangering the U.S. auto and defense industries, proved the most valuable bargaining chip in U.S.–China trade negotiations. The temporary trade truce between the two largest economies in the world doesn't change the fact that the U.S. is systemically critical mineral-dependent, not independent.

The Future is Public-Private, Plural and AI. With mining increasingly an issue of national security, not to mention U.S. economic competitiveness, deepening domestic refining capabilities will be a bipartisan priority for years to come, in our view. Progress has been gradual but is now gaining momentum. At the heart of it is this: public-private sector collaboration with the U.S. government taking an active role as a provider of capital. That said, whether semiconductors, satellites or the iPhone, there's plenty of precedent for government investment shaping new industries and technologies.

Investment Implications

While U.S. mineral dependencies persist, we wouldn't underestimate the ability of public-private sector collaboration to drive innovation in the U.S., particularly as AI and machine learning create opportunities to streamline research and discovery. We upgraded Materials earlier this year on improved pricing and demand for commodities. Long-term tailwinds, whether from AI, aging infrastructure, or the rearmament of global defense bases, underpin our overweight to the Industrials sector.

[2] International Energy Agency (IEA).

RETURN TO FIRST PAGE

With Uncle Sam's support, companies are expanding U.S.-based refining capacity of lithium, nickel and REEs. In some cases, particularly for REEs, the government has taken stake in mining and processing companies with the explicit goal to do what China does best, i.e., vertically integrate across mining, separation/processing and magnet production. Stockpiling has also been proposed as a method to defend against supply chain disruptions, with "Project Vault" announced this February being the largest public investment in critical minerals since World War II, according to Center for Strategic and International Studies (CSIS).

It's not just the U.S. Japan's electronics companies, Germany's auto industry, Canada's manufacturing firms—corporations around the world are all too familiar with China's weaponization of its grip on mineral supply chains.

As a result, cross-country partnerships to secure these minerals have expanded, as have efforts to collectively address the volatility of critical mineral prices, long vulnerable to market manipulation via export dumping and unfair trade practices. Just over the last year, the U.S. has signed bilateral frameworks with Australia, Indonesia, Japan, Malaysia and others, while plural partnerships like the recent Forum on Resource Geostrategic Engagement (FORGE) could be more effective in setting price floors for certain minerals.

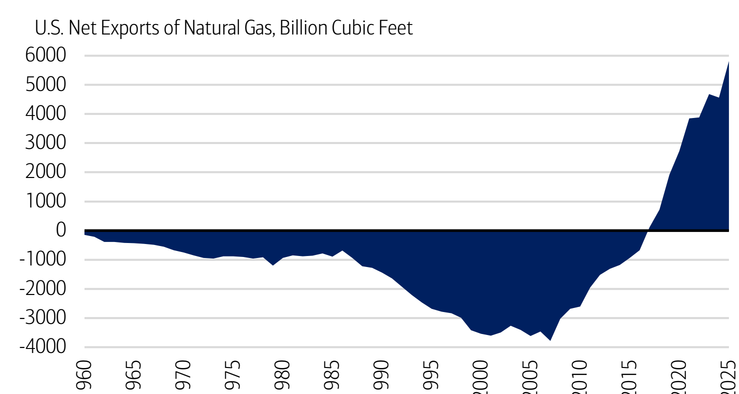
Finally, and as with other industries, AI and machine learning will play a role. Think more efficient and effective exploration, new separation techniques, discovery of alternative materials and shorter/streamlined permitting timelines—all of which help the U.S. move one step closer to a true "decoupling" of mineral supply chains from China. AI will prove even more important against a backdrop of a declining U.S. mining workforce. More than half of the U.S. mining workforce is expected to retire by 2029, leaving specialized knowledge in metallurgy, chemistry and engineering already in a structural deficit.

Bottom Line. Between geopolitical hotspots globally, aging infrastructure, and the revolution in AI and robotics, there's no debating that demand for critical minerals is headed higher. The latest war in the Middle East will likely only add to demand to rearm and rebuild global defense and industrial bases.

But unlike oil and natural gas, the U.S. isn't independent when it comes to critical minerals. Far from it. We expect protectionism around these resources and efforts to reshore supply chains to be key themes in the years ahead, not just in the U.S. but globally. For investors, the "picks and shovels" companies behind the equipment and engineering of greater domestic production and refinement capabilities could stand to benefit from higher capex and demand for mining equipment and processing facilities. Meanwhile, the dynamic partnership between the public and private sectors and its ability to drive innovation remains a fundamental reason to maintain the U.S. at the core of portfolios.

Exhibit 2: One Big Caveat to America's Energy Independence.

A) U.S. is Energy-Independent, Yes...



B) ...But When it Comes to Critical Minerals, China Rules..

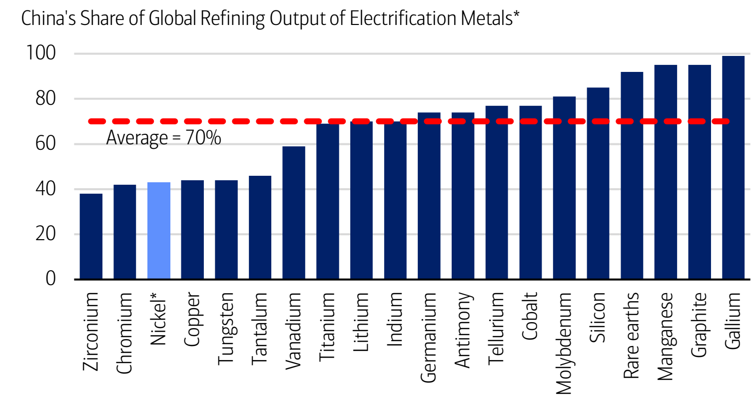


Exhibit 2A) Source: Energy Information Administration. Data through 2025, as of March 2026. Exhibit 2B) *Nickel is primarily refined in Indonesia. Source: IEA; Rhodium Group. Data as of March 2026.

THOUGHT OF THE WEEK

The U.S. Migration Shock that Wasn't—U.S. Demographics Remain a Favorable Outlier

***Joseph P. Quinlan**, Managing Director and Head of CIO Market Strategy*

First the bad news: Net immigration in the U.S. fell sharply last year, by nearly 54%, with immigration adding 1.3 million people to the U.S. population in 2025 versus 2.7 million in 2024. That is according to the latest figures from the U.S. Census Bureau (Exhibit 3A). The downshift contributed to U.S. population growth of just 0.5% in 2025, to 341.8 million people.

Now the good news—and the news that contradicts the prevailing the sky-is-falling-narrative about U.S. immigration: Last year's net addition of immigrants (1.3 million) was well ahead of the past 35-year average of just 964,000, as shown in Exhibit 3B. Missing from the gloomy narrative is the fact that migrant flows were artificially inflated over the 2022 to 2024 period due to the loose immigration policies of the Biden administration. In a sense, net immigration flows are reverting to the mean.

On top of that, add in the fact that there were over 500,000 more births than deaths last year in the U.S., and America emerges as a rare breed among the developed nations: It continues to post positive population growth. That contrasts to flat or falling population growth rates over much of Europe, Japan, South Korea and even China. The upshot: While much of the world is aging, shrinking or both, the U.S. remains one of the only large, advanced economies still adding people.

And adding people matters. Favorable population dynamics shape the most fundamental drivers of economic growth—think labor force growth, rising consumption, more innovation capacity and greater fiscal sustainability. Conversely, aging and shrinking populations create headwinds like labor shortages, slowing growth and fiscal pressures as governments tend to an expanding elderly population.

The bottom line: While not immune to the demographics of aging, the U.S. is in far better shape than the rest of the world, in our view. Our population continues to expand. Looking forward, we believe that the U.S.—even with modest population growth, combined with innovation-led productivity gains—can sustain stronger economic growth relative to its peers and solid market returns over the long run.

Investment Implications

Add modest population growth and innovation-led productivity to the list of reasons why we favor the U.S. over the rest of the world in portfolios. Though immigration has normalized, the U.S. is better positioned relatively speaking to sustain elevated consumption, economic growth and market returns longer term.

Exhibit 3: Setting the Record Straight on U.S. Migration.

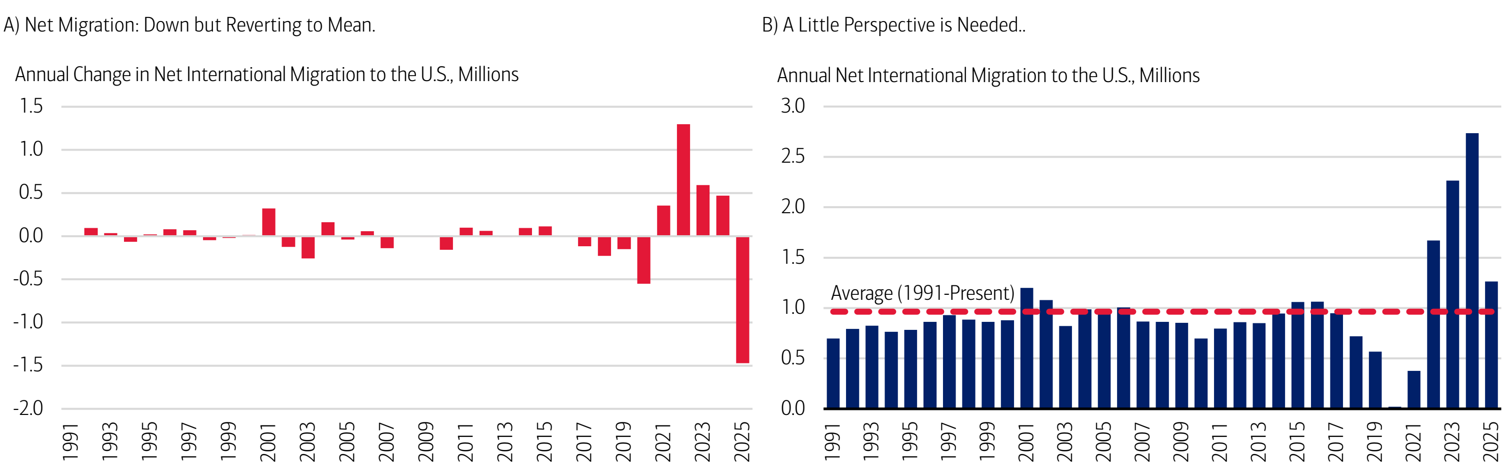


Exhibit 3A) Source: U.S. Census Bureau. Data as of March 2026. Exhibit 3B) Source: U.S. Census Bureau. Data as of March 2026.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	46,504.67	3.0	0.4	-2.8
NASDAQ	21,879.18	4.5	1.3	-5.7
S&P 500	6,582.69	3.4	0.8	-3.5
S&P 400 Mid Cap	3,408.16	3.0	1.0	3.5
Russell 2000	2,530.04	3.3	1.4	2.3
MSCI World	4,316.09	3.3	1.4	-2.3
MSCI EAFE	2,919.35	3.0	2.9	1.6
MSCI Emerging Markets	1,440.95	0.3	3.2	3.0

Fixed Income†

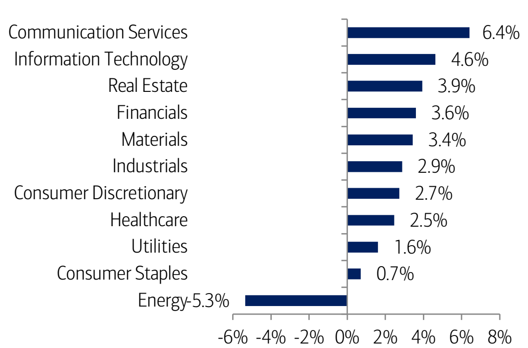
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.51	0.70	0.00	-0.21
Agencies	4.25	0.31	-0.08	0.14
Municipals	3.74	0.73	0.32	0.15
U.S. Investment-Grade Credit	4.59	0.75	0.00	-0.04
International	5.14	1.10	0.19	-0.35
High Yield	7.27	1.21	0.40	-0.10
90 Day Yield	3.69	3.68	3.67	3.63
2 Year Yield	3.84	3.91	3.79	3.47
10 Year Yield	4.34	4.43	4.32	4.17
30 Year Yield	4.91	4.96	4.91	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	348.80	2.3	1.5	26.3
WTI Crude $/Barrel††	111.54	11.9	10.0	94.3
Gold Spot $/Ounce††	4676.76	4.1	0.2	8.3

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.15	1.15	1.16	1.17
USD/JPY	159.67	160.31	158.72	156.71
USD/CNH	6.89	6.92	6.89	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 3/30/2026 to 4/2/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 4/2/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 3/27/2026)

	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.5	3.4
Real U.S. GDP (% q/q annualized)	3.3	3.0	2.0	2.0	2.7	2.1
CPI inflation (% y/y)	2.8	4.1	3.6	3.3	3.4	2.2
Core CPI inflation (% y/y**)	2.5	2.8	2.6	2.6	2.6	2.4
Unemployment rate (%)	4.4	4.5	4.4	4.3	4.4	4.3
Fed funds rate, end period (%)	3.63	3.38	3.13	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of April 2, 2026.
**Core CPI inflation as of March 27, 2026.
Sources: BofA Global Research; GWIM ISC as of April 2, 2026.

Asset Class Weightings (as of 3/4/2026)

Asset Class	Underweight		CIO View Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Growth				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	Underweight		CIO View Neutral		Overweight
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Information Technology			●		
Healthcare			●		
Materials		▶	●		
Real Estate		●			
Consumer Staples		●			
Communication Services		●	◀		
Energy	●				

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of March 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

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S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

March 30, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*War with Iran: Some Lessons and the Long View:* The first month of war with Iran has reminded investors of several enduring lessons and the importance of the long view. First, the world talks green—but still runs on black. Despite decades of renewable buildout and climate accords, fossil fuels account for over 80% of global energy consumption. Renewables, though growing, remain an alternative, not a substitute. Second, energy extends far beyond oil and gas. The pain of higher prices extends to the global petrochemical industry, with the Gulf's dominance in methanol, urea, sulfur, ammonia and helium underscoring the molecular foundation of the global economy. Third, energy shocks are not evenly distributed, hitting net oil importers and Emerging Markets (EM) hardest, while U.S. Equities have outperformed. Fourth, the dollar's reign continues. In times of global stress, capital still flows to U.S. Treasurys and the greenback. Finally, and most importantly, take the long view and remember that this too shall pass. In the face of crises over the last century, the U.S. economy has proven adaptable time and time again. Periods of acute volatility have typically been followed by an economic revival and sustained gains in Equities, in our view.

Market View—*In Retrospect: A Year On From "Liberation Day":* Now at the anniversary of "Liberation Day" (April 2, 2025) tariffs that disrupted decades of rules-based global trade, the feared economic and market fallout ultimately proved far less severe than initially expected. Markets overreacted initially—global Equities sold off sharply, volatility spiked, and recession risks were rapidly increasing. But that faded as equity markets rebounded at a historically fast pace, corporate margins not only held up but rose to multidecade highs, and tariff-driven inflation failed to materialize.

The reality is, Liberation Day reshaped the composition of global trade rather than collapsing it. Corporate America weathered the tariff shock with pricing power and cost discipline, delivering double-digit earnings growth. Meanwhile, predictions of a sustained "Sell America" trade proved misplaced: Foreign ownership of U.S. assets rose to record levels. Those overarching lessons from the past year point to recalibration, not rupture. The global economy bent but did not break amid heightened geopolitical and policy uncertainty

Thought of the Week—*When All That Glitters Isn't Gold:* Amid mounting concerns about war and inflation, it should be gold's time to shine. Instead, the yellow metal's luster has faded since the Middle East conflict began. The counterintuitive move raises the question—should investors be less bullish on bullion moving forward? In our view, the recent price action likely reflects positioning effects, shifting interest rate expectations, and dollar dynamics, rather than a change in gold's underlying fundamentals. The recent weakness in gold is unlikely to mark the end of the structural forces that have supported the metal in recent years: Lofty fiscal deficits remain a concern, the dollar is likely to resume its moderation trend, and central banks are little incentivized to stop diversifying their reserve assets. Against this backdrop, we continue to see a place for gold as a strategic diversifier in balanced portfolios.

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Portfolio Considerations

We see equity market pullbacks driven by headline noise as potential opportunities, supported by improving growth, clearer interest-rate visibility, favorable dollar dynamics, strong earnings prospects, and limited impact from geopolitical risks. Diversification beyond U.S. mega-caps is increasingly important as market leadership broadens, with added exposure to Small-caps, EMs and selective sector shifts, including our recent move to neutral on Materials and a slight underweight to Communication Services.

We remain constructive on Fixed Income but underweight it to fund Equities, expecting tariffs to have a marginal economic impact and yields to stay range-bound amid sticky inflation and gross domestic product (GDP) near or above 2%.

MACRO STRATEGY

War with Iran: Some Lessons and the Long View

Joseph P. Quinlan, ***Managing Director and Head of CIO Market Strategy***

Investment Implications

In times of heightened market volatility, it is important to have a disciplined and diversified approach to portfolio construction—and to see the forest through the trees.

The first month of war with Iran has taught or reminded investors of a few lessons, including the following:

One, the world talks green—but runs on black. Despite the massive buildout of renewable energy over the past two decades, and various high-profile climate accords, the world still runs on fossil fuels. According to the Energy Institute, fossil fuels like oil, natural gas and coal account for roughly 81% of global energy consumption. Renewables (hydro, wind, solar) account for roughly 15%. Oil alone powers roughly 95% of the global transportation system.

Ironically, the Middle East has been among the most aggressive investors in renewables over the past decade. However, the region still accounts for roughly 50% of proven global oil reserves, produces about 30% of global oil and has the lowest cost per barrel in the world. The Strait of Hormuz, meanwhile, carries roughly 20% of global oil trade and 20% of natural gas. That is another way of saying that the war in the Middle East matters tremendously to the world energy markets—and is a timely reminder that renewables—which have grown in importance in the overall global energy mix this decade—are more of an alternative to oil and gas, not a substitute.

Two, there is a great deal more to "energy" than just oil and gas. Off the back of soaring prices for naphtha, ethylene, ethane, benzene and other petrochemical feedstocks, the energy shock of 2026 is a timely reminder that the costs of higher oil prices go well beyond the pump, i.e., higher gasoline prices. The pain extends to the global petrochemical industry as well, which is the molecular foundation of the world economy.

Roughly 15% of global oil demand goes into petrochemicals that produce such end-use products as plastics, synthetic fibers, fertilizers, chemicals, pharmaceuticals and other active ingredients of the modern economy. The Gulf region accounts for 40% of the global methanol supply (a key input for plastics), as well as 43% of the global supply of urea, 44% of global sulfur and 27% of global ammonia—all critical inputs to the global fertilizer industry. Qatar alone accounts for 34% of the global supply of helium,[1] a critical input to semiconductor production. The bottom line: Energy price spikes extend well beyond oil and gas. To what extent rising input prices become embedded in global supply chains in the coming months remains a key outlier at this point.

Three, global energy shocks are not evenly distributed. First the good news: The energy intensity of the global economy has dropped sharply from the peak of the 1970s owing to greater energy efficiencies in machines, vehicles and buildings. However, oil price shocks still hurt—notably to net oil importers like South Korea, Japan, Taiwan and much of energy-dependent Europe. Fuel and energy rationing is already spreading across many emerging markets and will become even more intense if the Strait of Hormuz remains closed. A drop in tourism revenue and remittances could compound the pain of the energy shock of 2026 for nations like India, the Philippines and Thailand.

Given the above, last year's equity leaders have become this year's laggards. Equity returns in the emerging markets and developed nations have lagged the U.S. since the start of the war, with the S&P 500 outperforming both EMs and Europe by nearly 6%.[2] A de-escalation in tensions would mean risk-on for EM assets, although we continue to favor U.S. Equities relative to the EM and Europe.

Four, the U.S. dollar's reign continues. It wasn't that long ago (last year) that the consensus was that the dollar's reign as the world's reserve currency was over, undone by fiscal profligacy, soaring debt levels and protectionist U.S. trade policies. On a real trade-weighted basis, the greenback slumped 7% last year—triggering a deluge of U.S. dollar obituaries. However, since the start of the war (February 28, 2026), the dollar has gained nearly 2%, underscoring the dollar's utility as one of the world's safest assets. A close competitor in times of crisis—gold—has slumped by 15% since the end of February.

[1] International Energy Agency, U.S. Geological Survey.

[2] MSCI Emerging Markets Index and MSCI Europe Index referenced. Data as of March 25, 2026.

In times of global stress, global capital seeks safer harbors, with investors typically selling risky assets (stocks, EM bonds, commodities, etc.) for more liquid buffers like U.S. Treasurys. In addition, margin calls and redemptions pressures trigger forced selling of assets, with those assets often converted to dollars. Investors, in theory, could flee to the Euro, Swiss franc, or gold, but in times of crisis, no other capital markets in the world have the depth, liquidity and capacity to fund the globe. Finally, during crises, the Federal Reserve (Fed) acts as the global lender of last resort, opening up dollar swap lines with other central banks, injecting dollar liquidity globally, while reinforcing the dollar's central role in global finance. Long live the greenback.

The final lesson and taking the Long View—This Too Shall Pass. Historical context is always important in times of intense volatility and, with that in mind, take a look at Exhibits 1 and 2. The first exhibit highlights the S&P 500's performance this decade. And what a decade it has been: a pandemic, a ground war in Europe, a spike in inflation, ChatGPT, Trump 2.0, "Liberation Day" and a war in Iran. The proverbial kitchen sink has been thrown at the U.S. economy and U.S. Equities this decade.

But notwithstanding one punch after another, the U.S. economy has added roughly

$10 trillion in total output to GDP this decade, while the S&P 500 has returned 123% (total return) or 13.7% on an annualized basis. These figures underscore and speak loudly to America's economic ability to pivot, adjust, and reset in the face of adversity. No economic ecosystem in the world is as adaptable as America's. That's the main message of Exhibit 2 as well, which provides a 100-year scan of market returns in the face of multiple crises.

The bottom line: History never repeats itself but rhymes, and our conviction is that the energy shock of 2026 shall pass. With history as a guide, acute periods of market stress/volatility have ultimately been succeeded by an economic revival, a more favorable investment backdrop and sustained price gains for equity markets. Hence, in times of heightened market volatility, it is important to have a disciplined and diversified approach to portfolio construction—and to see the forest through the trees.

Exhibit 1: Charting the Roaring and Roiling 2020s.

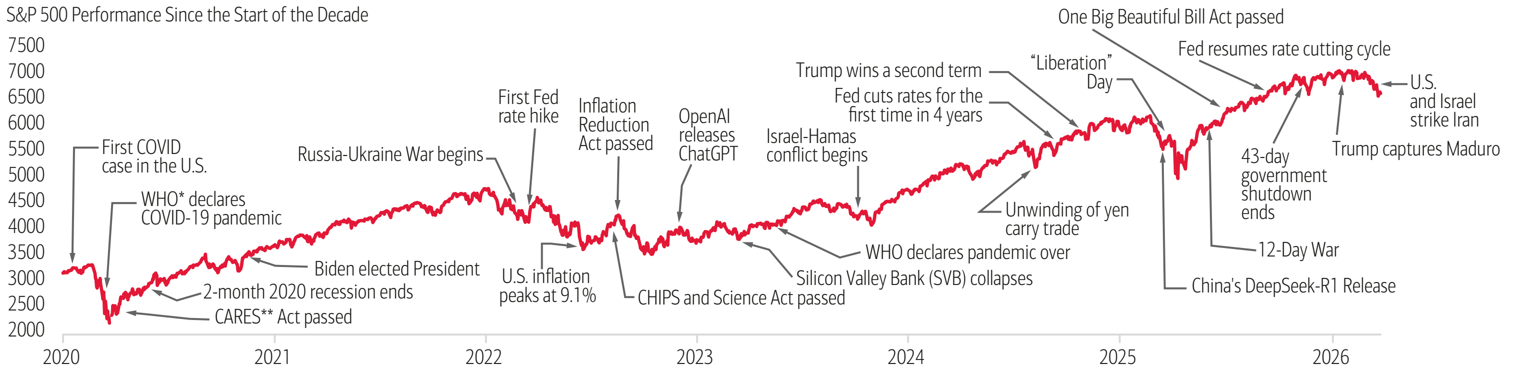


Exhibit 1: *World Health Organization. **Coronavirus Aid, Relief, and Economic Security Act. Source: Bloomberg. Data as of March 25, 2026. **Past performance is no guarantee of future results.**

Exhibit 2: Equity Market and Historical Periods of Crisis and Recovery.

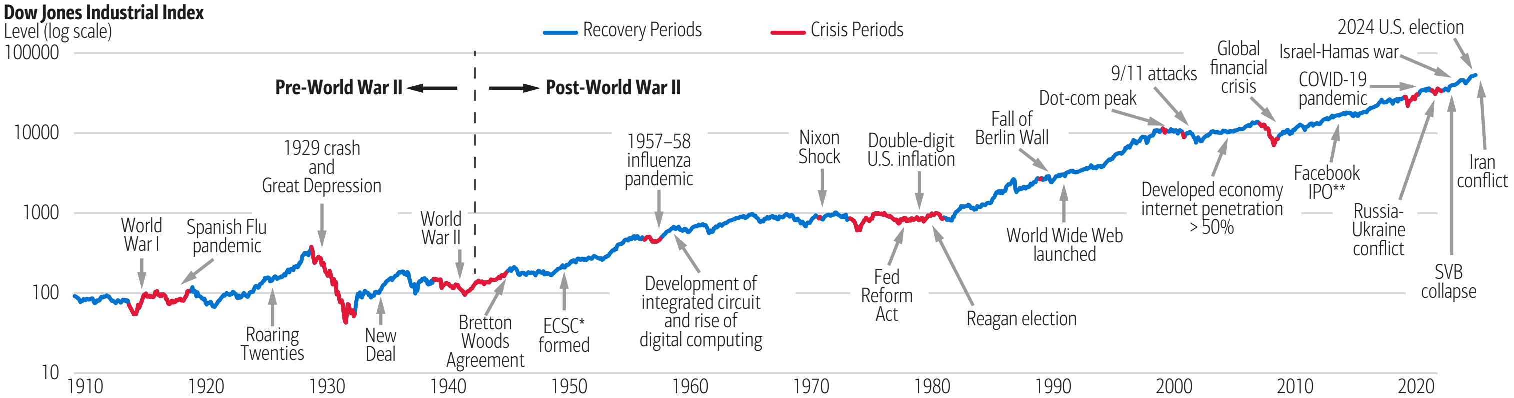


Exhibit 2: *European Coal and Steel Community. **Initial Public Offering. Sources: Chief Investment Office; Bloomberg. Data as of February 2026. **Past performance is no guarantee of future results.**

MARKET VIEW

In Retrospect: A Year On From "Liberation Day"

Lauren Sanfilippo, ***Director and Senior Investment Strategist***
Ariana Chiu, ***Assistant Vice President and Investment Strategist***

A year ago, President Trump's "Liberation Day" tariffs upended roughly eighty years of rules-based global trade. The aftershocks were immediate: global Equities dropped, gold prices soared, the dollar fell, inflation expectations moved higher, and Wall Street quickly slashed earnings expectations against the rising odds of a global recession.

Yet, not for the first time, the worst-case scenario did not come to pass. The U.S. economy and corporate America adjusted rather quickly, as did the global economy. Tariff-driven inflation failed to transpire as companies not only insulated margins from degradation, but also has adeptly boosted margins to multidecade highs. The destruction wrought to Equities—the S&P 500 declined 18.9% over 34 trading sessions—was fleeting. After hitting a trough on April 8, 2025, the S&P 500 was back in positive territory some 21 days after Liberation Day—a remarkably rapid recovery by historical standards. Global Equities followed a similarly robust recovery path.

There were many ingredients to the market rebound, including synchronized easing by major central banks, proactive fiscal policies, adroit supply chain management among firms, and the front-loading of trade. Solid consumer spending among households, coupled with strong capital expenditure spending on data centers from hyperscalers, kept the U.S. economy humming.

Now 12 months later, we reflect on the reverberations and aftershocks since Liberation Day—specifically on trade, U.S.-China relations, the corporate operating environment and the foreign allure to U.S. assets.

The composition of trade was changed without collapse. As blended tariff rates reached their highest levels in nearly a century, the first-order impacts were on global trade. But expecting a rupture in global supply chains and trade relations, it went more like this, according to McKinsey:[3]

- Despite widespread concerns, trade grew broadly in line with global GDP.
- The largest adjustment occurred in U.S.–China trade. Bilateral flows fell by roughly 30%, reflecting both imposed tariff and ongoing aspirations to diversify supply chains. Yet U.S. imports and China exports both reached new respective highs (Exhibit 3A).
- China continued its shift upstream in global production. The Association of Southeast Asian Nations economies, wedged between the U.S. and China, emerged as key beneficiaries as firms rerouted supply chains. Meanwhile, the European Union faced a "double squeeze" from China flooding Europe with imports and higher U.S. tariffs, prompting a deepening in trade ties beyond its two largest partners.
- Trade tied to the Artificial Intelligence (AI) boom accelerated sharply, particularly along supply chains running through Taiwan, South Korea, and Southeast Asia. Shipments of chips, servers and networking equipment for data center construction accounted for roughly one third of total trade growth in 2025, much of it occurring between geopolitically aligned economies.

And so the result was not retrenchment but reallocation and rerouting of goods. AI-driven trade, the rising role of "third" countries, China's upstream migration and geopolitical fragmentation are post-Liberation Day distortions but also likely more permanent features of global trade.

While the rest of the world stood still, China fought back. The immediate fallout from Liberation Day mattered for markets, to be sure, but it was the reaction to U.S. tariffs—i.e., whether the rest of the world chose to retaliate or retreat—that ultimately determined the impact of April 2 to economic growth and corporate profits. Thankfully for the growth backdrop, the rest of the world primarily chose the latter (retreat), which enabled the global economy to avoid an outright trade war and set the stage for a blistering rally in global equities.

Investment Implications

While a great deal has transpired since Liberation Day in 2025, one lesson remains. The post-Liberation Day bounce serves as a reminder that the worst days can be followed closely by the best recoveries. April 3 and April 4 ranked among the worst trading days of last year, yet the rebound on April 9 stood as one of the strongest. This close proximity reinforces the importance of staying invested through periods of volatility. Avoiding weathering the volatility may ultimately mean being sidelined for the recovery.

[3] McKinsey Global Institute report, "Geopolitics and the geometry of global trade: 2026 update," March 19, 2026.

The wrinkle? China proved the exception to the rule, not only retaliating against the U.S. with tariffs of their own but also exposing its chokehold on rare earths and, thus, its chokehold on global defense systems, the auto industry, and the modern industrial and digital economy. The lesson for investors remains: When it comes to technology and infrastructure, Beijing has leverage over the U.S. and the rest of the world owing to its dominance of the production and refinement of critical minerals. To wit, according to the Census Bureau, despite China's share of total U.S. goods imports declining from its peak of 21.6% in 2017 to just 9.0% last year, the second largest economy in the world is still responsible for 88% of the U.S.' rare earths imports. We're far from a true "decoupling," in other words. China's stranglehold on critical inputs to strategic technologies will be a key theme for years to come.

Earnings in the Tariff Wake. The sharp repricing of analyst estimates triggered by Liberation Day and the anticipated tariff-driven deterioration in Corporate America's earnings never materialized. Rather than ushering in recessionary conditions, corporations adjusted through a combination of pricing discipline, cost management and supply chain reconfiguration. Importantly, consumer demand proved sufficient to allow revenues to continue expanding, supported by healthy household balance sheets. As a result, corporate earnings continued to grow by double digits, with the S&P 500 running up a streak of five consecutive quarters of double-digit earnings growth.

Through the tariff uncertainty, firms proved remarkably effective at defending margins, which remained near multidecade highs as consumers and downstream businesses bore much of the direct cost of tariffs through higher prices. Taken together, the post-Liberation Day period illustrates Corporate America's ability to not dodge the costs of tariffs but successfully navigate such an uncertain operating environment.

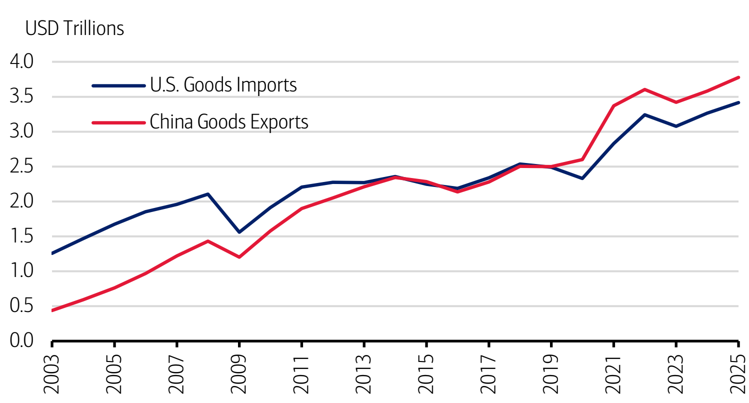
So much for the "Sell America" trade. Between the administration's protectionist bias, unpredictable foreign policy and an elevated budget deficit, the narrative over much of last year was that foreign investors were bailing on/selling U.S. assets. Hardly the case.

The latest flow of funds data from the Fed indicates the opposite. Foreigners are indeed more entangled with U.S. securities than ever before: As of Q4 2025, foreign investors owned $20.5 trillion in U.S. Equities—a record high and nearly 21% more than the year prior (Exhibit 3B). U.S. Treasury ownership by the rest of the world rose 8% over the year to $9.2 trillion, with foreigners still controlling roughly 31% of the Treasury market. That's another way of saying that, despite what headlines suggest, foreigners still have faith in the U.S. economy. Yes, the stakes are high with U.S. publicly held debt now at $31 trillion and climbing. But as the eventful year since Liberation Day has taught us, we'd fade concerns of foreign investors ditching America.

The Bottom Line: For all the concerns and handwringing of last April, the global economy and its trading systems did bend but did not break. That's much like Corporate America, which absorbed the shock and adjusted—sustaining earnings growth even in the face of much uncertainty. The threat of tariffs accentuated the cards that both sides hold between U.S./China trade relations, and yet capital continues to be routed to the U.S.

Exhibit 3: U.S. Imports and China Exports Weathered the Tariff Storm, as Foreigners Embraced Allocations to U.S. Assets.

A) Still A World of Record U.S. Imports and Record Exports from China.



B) Foreigners Bought America in 2025..

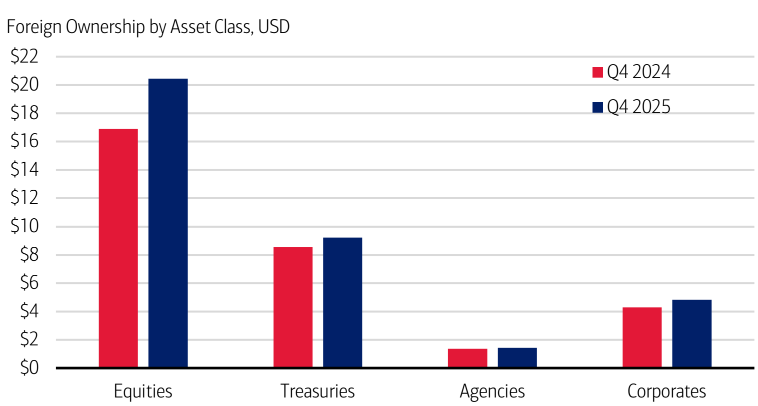


Exhibit 3A) Sources: U.S. Census Bureau; China General Administration of Customs. Data as of March 2026. Exhibit 3B) Source: Federal Reserve. Data as of March 20, 2026.

THOUGHT OF THE WEEK

When All That Glitters Isn't Gold

Emily Avioli, *Vice President and Investment Strategist*

Amid mounting concerns about war and inflation, it should be gold's time to shine. Instead, the yellow metal's luster has faded, with the price tumbling by roughly -16.0% since the Middle East conflict began (Exhibit 4). Gold has moved largely in tandem with risk assets over the past four weeks, defying its conventional role as a geopolitical hedge. The counterintuitive move raises the question—should investors be less bullish on bullion moving forward? Our take: The recent price action likely reflects positioning effects, shifting interest rate expectations, and dollar dynamics, rather than a change in gold's underlying fundamentals.

The pullback in gold follows an extraordinary run. Supported by elevated central bank purchases and renewed retail enthusiasm, gold prices have risen sharply since 2022, recently surpassing the $5,400/oz threshold in January. Historically, after large rallies in any commodity price in a short window of time, that commodity usually has a consolidation period or digestion of the abnormally large gains. This has been playing out with the current pullback in gold prices. In addition, positioning had become increasingly extended on the heels of the historic rally, likely leading to profit-taking when risk-off sentiment took hold as the Middle East conflict heated up. The move to sell gold to raise liquidity may have been amplified by depleted levels of institutional cash on the sidelines, which had fallen to record lows in January.[4]

Rising yields have also contributed to gold's reversal. Higher energy prices have rekindled concerns about inflation and, in turn, altered the outlook for monetary policy. Expectations for interest rate cuts have been pushed out, with fed funds futures pricing in a non-trivial possibility that the Fed's next move could potentially be a hike.[5] As real yields have risen, the opportunity cost of holding nonyielding assets like gold has increased, reducing the relative appeal compared to income-generating alternatives.

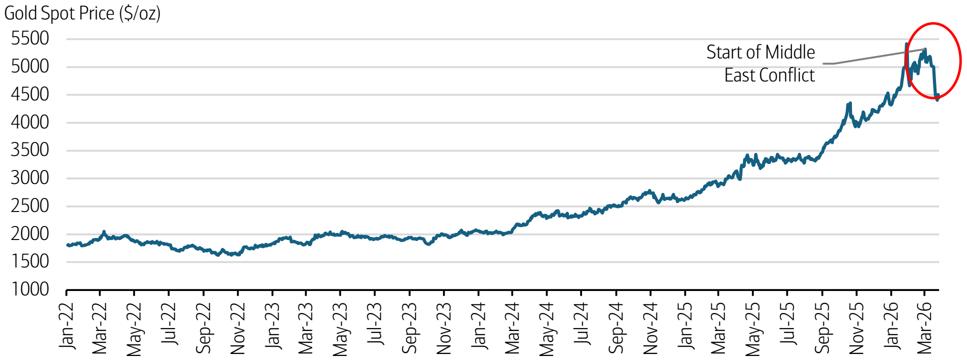
The dollar has presented another headwind. Since the conflict began, the dollar has strengthened as investors have gravitated toward its "safe-haven" characteristics. Given gold's historical role as a medium of exchange and a store of value, it has traditionally been viewed as an alternative to the dollar and has tended to move inversely with the exchange rate value of the dollar over recent decades.

In our view, however, the recent weakness in gold is unlikely to mark the end of the structural forces that have supported the metal in recent years. Lofty fiscal deficits remain a concern, the dollar is likely to resume its moderation trend, and central banks are little incentivized to stop diversifying their reserve assets. Once uncertainty surrounding the Middle East conflict begins to fade, these underlying demand drivers should once again reassert themselves. Against this backdrop, we continue to see a place for gold as a strategic diversifier in balanced portfolios.

Investment Implications

The underlying factors supporting gold should remain intact over the long-term, despite near-term volatility. Commodities like gold and other precious metals can serve as strategic diversifiers in balanced portfolios.

Exhibit 4: Gold's Multi-Year Ascent Recently Hit Pause.



Source: Bloomberg. Data as of March 26, 2026. **Past performance is no guarantee of future results.**

4 BofA Global Research Fund Manager Survey. January 20, 2026.

5 Bloomberg. Data as of March 25, 2026.

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Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	45,166.64	-0.9	-7.6	-5.6
NASDAQ	20,948.36	-3.2	-7.5	-9.7
S&P 500	6,368.85	-2.1	-7.3	-6.7
S&P 400 Mid Cap	3,310.82	0.5	-7.3	0.5
Russell 2000	2,449.70	0.5	-6.8	-1.0
MSCI World	4,180.83	-1.5	-8.1	-5.4
MSCI EAFE	2,839.24	0.1	-10.4	-1.4
MSCI Emerging Markets	1,437.25	-1.7	-10.6	2.7

Fixed Income†

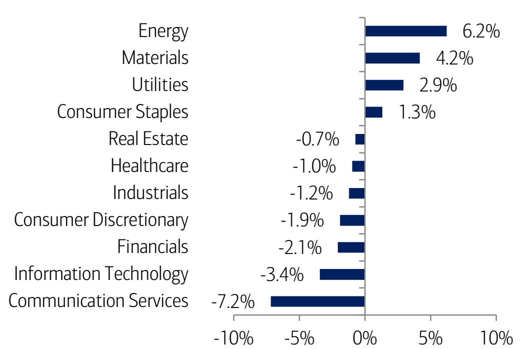
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.60	-0.13	-2.50	-0.90
Agencies	4.29	-0.02	-1.38	-0.17
Municipals	3.83	-0.81	-2.72	-0.58
U.S. Investment-Grade Credit	4.69	-0.12	-2.49	-0.79
International	5.27	-0.23	-2.86	-1.43
High Yield	7.68	-0.47	-1.97	-1.29
90 Day Yield	3.68	3.70	3.66	3.63
2 Year Yield	3.91	3.90	3.37	3.47
10 Year Yield	4.43	4.38	3.94	4.17
30 Year Yield	4.96	4.94	4.61	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	340.82	0.1	10.6	23.4
WTI Crude $/Barrel††	99.64	1.3	48.7	73.5
Gold Spot $/Ounce††	4494.09	0.0	-14.9	4.0

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.15	1.16	1.18	1.17
USD/JPY	160.31	159.23	156.05	156.71
USD/CNH	6.92	6.91	6.86	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 3/23/2026 to 3/27/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 3/27/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 3/27/2026)

	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.5	3.4
Real U.S. GDP (% q/q annualized)	3.3	3.0	2.0	2.0	2.7	2.1
CPI inflation (% y/y)	2.8	4.1	3.6	3.3	3.4	2.2
Core CPI inflation (% y/y)	2.5	2.8	2.6	2.6	2.6	2.4
Unemployment rate (%)	4.4	4.5	4.4	4.3	4.4	4.3
Fed funds rate, end period (%)	3.63	3.38	3.13	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of March 27, 2026.
Sources: BofA Global Research; GWIM ISC as of March 27, 2026.

Asset Class Weightings (as of 3/4/2026)

	CIO View				
Asset Class	Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Growth				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

	CIO View				
Sector	Underweight		Neutral	Overweight	
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Information Technology			●		
Healthcare			●		
Materials		▶	●		
Real Estate		●			
Consumer Staples		●			
Communication Services		●	◀		
Energy	●				

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of March 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

MSCI Emerging Markets Index is a float-adjusted market capitalization index designed to measure the equity performance of large and mid-cap companies across 24-27 developing nations.

MSCI Europe Index is a free float-adjusted market capitalization index designed to measure the equity performance of large and mid-cap stocks across 15 developed markets in Europe.

Important Disclosures

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Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

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Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private-credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity and your tolerance for risk.

Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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